

THE INVEST^{igator}

A monthly newsletter published by Swap Global Ventures Pvt. Ltd., Nagpur

Vol 20 No. 10

January 2024

Sensex Data: Last 43 Years

Over the past 43 years, there have been approximately 11,000 trading days.

Positive and negative returns were observed as follows:

- Daily: 53% positive, 47% negative
- Weekly: 56% positive, 44% negative
- Monthly: 61% positive, 39% negative
- Quarterly: 64% positive, 36% negative
- Yearly: 72% positive, 28% negative
- 3 years: 89% positive, 11% negative
- 5 years: 96% positive, 4% negative
- 10 years: 100% positive, 0% negative

The SENSEX delivered a (CAGR) of 15.5% over the last 43 years.

Historical CAGR for different periods:

- 1980-1990: 21.6%
- 1990-2000: 14.3%
- 2000-2010: 17.8%
- 2010-2020: 8.8%
- 2020-2022: 24.8%

Taking into account an average dividend yield of 1.4%, the compounded annual growth rate (CAGR) of BSE Sensex is approximately 16.9%, resulting in a value of around 80,000.

Longest period of consecutive positive returns was from 1994 to 2003, spanning 9 years.

Since 2002, there have been no single-year rolling returns negative over any 7-year period, **implying no loss if money was invested for a minimum of 7 years.**

Actively managed equity funds have shown the following CAGR returns over 20 years:

- Hybrid: 15.96%
- Diversified: 16.25%
- ELSS: 18.20%
- All Funds (excluding LIC and few AMCs): 16.41%

SENSEX was at 3800 in June 1996 (26 years back). Over the last 26 years, the average equity mutual fund delivered 18% CAGR.

If SENSEX had performed as well as the average mutual fund scheme:

- **At 16.4% CAGR, SENSEX should be around 1,70,000 levels.**
- **At 18% CAGR, SENSEX should be around 2,38,000 levels.**

Journey of Sensex in Calendar Years in the last 23 Years						
Date	Sensex	Date	Sensex	Gain/Loss	Remarks	Years
01-01-2001	3,955	31-12-2001	3,262	-17.52%	Negative	4
01-01-2002	3,246	31-12-2002	3,377	4.04%	Positive	19
01-01-2003	3,390	31-12-2003	5,839	72.24%	%	82.61%
01-01-2004	5,915	31-12-2004	6,603	11.63%		
03-01-2005	6,679	30-12-2005	9,398	40.71%		
02-01-2006	9,390	29-12-2006	13,787	46.83%		
02-01-2007	13,942	31-12-2007	20,287	45.51%		
01-01-2008	20,301	31-12-2008	9,647	-52.48%		
01-01-2009	9,903	31-12-2009	17,465	76.36%		
04-01-2010	17,559	31-12-2010	20,509	16.80%		
03-01-2011	20,561	30-12-2011	15,455	-24.83%		
02-01-2012	15,518	31-12-2012	19,427	25.19%		
01-01-2013	19,581	31-12-2013	21,171	8.12%		
01-01-2014	21,140	31-12-2014	27,499	30.08%		
01-01-2015	27,508	31-12-2015	26,118	-5.05%		
01-01-2016	26,161	30-12-2016	26,626	1.78%		
02-01-2017	26,595	29-12-2017	34,057	28.06%		
01-01-2018	33,813	31-12-2018	36,068	6.67%		
01-01-2019	36,255	31-12-2019	41,254	13.79%		
01-01-2020	41,306	31-12-2020	47,751	15.60%		
01-01-2021	47,869	31-12-2021	58,253	21.69%		
03-01-2022	59,183	30-12-2022	60,841	2.80%		
02-01-2023	61,168	29-12-2023	72,240	18.10%		

Last 20 years have been extraordinary for Sensex. In Jan 2004 it touched 6000 for the first time. In Jan 2024, it touched 72000.

THE ASSET ALLOCATION QUILT

Returns (in %)										
2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023
International 45.7	Small-cap 69.2	Credit risk 10.00	G-sec 15.0	Small-cap 59.6	Gold 8.4	International 31.8	Small-cap 32.1	Small-cap 62.8	Gold 11.7	Small-cap 44.9
Large-cap 9.0	Mid-cap 54.7	Corporate bond 9.00	International 12.5	Mid-cap 48.1	G-sec 8.0	Gold 21.1	Gold 27.6	Mid-cap 39.2	Credit risk 5.4	Mid-cap 42.5
Real estate 7.5	Large-cap 29.9	Mid-cap 7.4	Corporate bond 12.0	Large-cap 27.9	Large-cap 5.9	Large-cap 14.4	International 19.0	International 29.1	Large-cap 4.4	International 25.1
Credit risk 7.0	G-sec 17.0	G-sec 7.0	Credit risk 12.0	International 12.3	Corporate bond 5.0	G-sec 12.0	Mid-cap 18.8	Large-cap 22.0	Corporate bond 2.9	Large-cap 17.8
Corporate bond 6.00	Credit risk 14.0	Small-cap 6.8	Gold 10.9	Credit risk 8.0	Credit risk 5.0	Corporate bond 10.0	Large-cap 15.8	Credit risk 8.6	T-Bill 2.5	Gold 12.3
T-Bill 5.5	International 13.6	T-Bill 5.4	Real estate 9.6	Corporate bond 7.0	Real estate 4.8	Credit risk 8.0	G-sec 12.8	Corporate bond 4.9	G-sec 2.6	Credit risk 9.3
G-sec 2.0	Corporate bond 13.0	Real estate 4.5	Mid-cap 8.0	Real estate 6.4	T-Bill 4.1	T-Bill 4.2	Corporate bond 12.3	Real estate 3.1	Real estate 2.7	G-sec 7.7
Mid-cap -5.7	Real estate 11.9	International 4.2	T-Bill 4.7	Gold 6.0	International 2.4	Real estate 4.2	Credit risk 11.4	G-sec 2.2	Mid-cap 1.3	Corporate bond 7.0
Small-cap -11.2	T-Bill 5.7	Large-cap -5.0	Large-cap 1.9	T-Bill 4.0	Mid-cap -13.4	Mid-cap -4.0	T-Bill 3.1	T-Bill 2.0	Small-cap -1.8	T-Bill 4.3
Gold -18.0	Gold 2.2	Gold -7.9	Small-cap 1.8	G-sec 2.0	Small-cap -23.5	Small-cap -6.8	Real estate 1.2	Gold -2.7	International -10.0	Real estate 2.0

Domestic stock market returns as on 27 December 2023; T-Bill: treasury bills; G-secs: government securities; for large-cap, we have used S&P BSE Sensex Price Return Index (PRI); for mid cap, S&P BSE Midcap PRI; for small cap, S&P BSE Smallcap PRI; for T-Bills, CCIL T-Bill Liquidity Weight data; for G-secs, CCIL All Sovereign Bond Index data; for corporate bonds, Crisil Corporate Bond Composite Index data; for credit risk, Crisil Composite Credit Risk data; for international, S&P 500 PRI data (converted to rupee returns); for gold, prices as per World Gold Council till 15 Dec 2023; for real estate, RBI Housing price Index is available only upto Q2 of FY2023-24 (showing 9-month return).

Source: Mint research, ACE MF

A diversified portfolio of stocks, bonds and physical assets is key to steering through every market condition. Such a portfolio may not deliver highest returns in any given year but may perform competitively across market cycles.

DISCLAIMER: The views expressed here cannot be construed to be a decision to invest. The statements / articles contained herein are based on current views and involve known & unknown risks and uncertainties. Swap Global Ventures Pvt Ltd. or its officers / directors shall have no responsibility or liability whatsoever for the accuracy or any use or reliance thereof of such information.

Mutual Fund investments are subject to market risks, read all scheme related documents carefully.

SWAP
GLOBAL VENTURES

SWAP Global Ventures Pvt. Ltd.

AMFI Registered Mutual Fund Distributor

VCA Complex, Civil Lines, NAGPUR – 440 001

0712-6641166/67, 9372693725

Email : swapconsultants@yahoo.com Website: www.swapglobalventures.com